DRUMOAK CAPITAL

Sleep Number (SNBR) Chapter 11

Debt Restructuring Report

July 2026

As of 23 June 2026 Close

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Ticker	NASDAQ: SNBR (delisted June 23, 2026)
Petition Date	June 12, 2026
Court	U.S. Bankruptcy Court, S.D.N.Y., Case No. 26-11399
Funded Debt	~$672.5M
DIP Facility	Up to $260M ($65M new money, $195M roll-up)
Sale Price	~$415M cash plus assumption of certain liabilities
Buyer	SNBR Inc., an affiliate of Sleep Country Canada
Key Dates	Bids Jul 8; Auction Jul 13; Sale Hearing Jul 15; Close Jul 31
Advisors	Guggenheim Securities; Davis Polk & Wardwell; AlixPartners/AP Services (debtor); Goodwin Procter, PwC (buyer)

Situation in Brief

Sleep Number filed Chapter 11 with a buyer already signed. The petition and the asset purchase agreement landed the same day, which is the clearest signal in the case: the petition functioned as a lender-supervised sale run through a bankruptcy court, not a genuine attempt at reorganisation. The capital structure looks simple on paper, one credit agreement, one lender group, but a closer read shows a fracture inside that group, created by the DIP financing itself. $260 million of prepetition claims convert into a fully protected superpriority facility; the remaining $477.5 million is left to recover whatever the $415 million sale price can cover once the DIP is repaid. The fulcrum sits inside the secured class itself, a level up from where most readers would look for it.

What Happened

Sleep Number and its subsidiaries filed for Chapter 11 in the Southern District of New York on June 12, 2026, under Case No. 26-11399. The filing coincided with a signed agreement to sell substantially all assets to Sleep Country Canada for approximately $415 million in cash plus assumed liabilities, with Sleep Country affiliate SNBR Inc. serving as stalking horse. The sale followed a 14-week prepetition process led by Guggenheim Securities, during which 52 parties were contacted, 19 signed NDAs, and five submitted preliminary proposals. On the first day of the case, Sleep Number rejected 44 store leases, representing 8% of its fleet. First-day filings described equity as “significantly out of the money,” and NASDAQ confirmed the company’s delisting within days.

Why It Happened

Deterioration was gradual until it wasn’t. FY2025 revenue fell 16% to $1.4 billion, and the net loss widened from $20 million to $132 million. The first quarter of 2026 accelerated the decline sharply: revenue down 19% year-over-year to $319 million, a net loss of $50.3 million, and adjusted EBITDA down 74% to $6 million. Gross margin compressed to 57.9% from 61.2% as the company discounted through legacy inventory. Liquidity had fallen to $40 million by quarter-end, only $10 million above the covenant floor, and sixty stores closed in the quarter alone. A prepetition recapitalisation outreach by Guggenheim in March 2026 contacted 33 parties and produced a single written proposal, an early indication that the existing capital structure no longer had support at current leverage.

Capital Structure and the Fulcrum

A fulcrum security is the class of claims at the point where recovery moves from near-certainty to genuinely uncertain, the class that absorbs the company’s real risk and typically ends up directing the outcome of the case. That class typically sits between secured and unsecured creditors. Here it sits inside the secured class. All $672.5

million of Sleep Number's funded debt sits under a single credit agreement, meaning there was one lender group rather than several competing lien classes. The DIP financing changes that. $195 million of prepetition debt was rolled into the $260 million DIP facility, converting it into a superpriority, priming-lien claim that sits ahead of the remaining $477.5 million of prepetition secured debt, debt that, before the roll-up, ranked equally alongside it.

Tranche	Claim	Priority	Est. Recovery
DIP, New Money	$65M	Superpriority	~100%
DIP, Roll-up	$195M	Superpriority	~100%
Residual Prepetition Secured	~$477.5M	Priming-junior	~32%
Trade / Lease-Rejection Claims	Unquantified	Unsecured	~0%
Common Equity	N/A	Residual	~0%

Because the same lender group holds both the rolled-up and residual tranches pro rata, the practical outcome can be netted together: $350 million of value against $672.5 million of prepetition claims, a blended recovery near 50%. The fulcrum sits at the boundary of the roll-up created inside the secured class. Trade and lease-rejection claims are immaterial to the outcome. Equity, with a market capitalisation of approximately $8.8 million by the petition date, down roughly 95% over the trailing year, recovered nothing.

The Section 363 Process

Section 363 permits a debtor to sell assets free and clear of liens outside a plan of reorganisation, with a stalking horse bid establishing a floor price that competing bidders must exceed to trigger an auction. Secured lenders may credit-bid their claims under 363(k) in place of cash consideration. In this case, Sleep Country is a genuine third-party strategic buyer rather than the incumbent lenders acquiring the company through a credit bid. The lenders' primary lever was the DIP structure itself: rolling $195 million into a superpriority claim secures a strong recovery on that portion immediately, while preserving the option to credit-bid at auction should $415 million prove to undervalue the business. The process moves quickly: bids due July 8, auction July 13, sale hearing July 15, targeted close July 31, a timeline made credible by the fourteen weeks of marketing already completed before filing.

Comparable Cases

Case	Funded Debt	Resolution	Outcome
Mattress Firm (2018)	$3.3B	Prepackaged debt-for-equity plan	Lenders backstopped $525M exit plus $250M DIP
Bed Bath & Beyond (2023)	~$1.1B sec. / $1.03B unsec.	Failed going-concern sale; IP sold to Overstock ($21.5M)	Unsecured notes ($1.03B) unrecovered
Tuesday Morning (2023)	n/a (undisclosed)	Ch. 11, converted to Ch. 7 liquidation	Near-total impairment across the stack
Sleep Number (2026)	$672.5M	363 sale to strategic buyer (going concern)	DIP ~100%; residual secured ~32% (est.)

Sleep Number's outcome compares favourably against recent precedent in the sector. Mattress Firm's 2018 case, with $3.3 billion of funded debt, resolved through a prepackaged debt-for-equity plan backstopped by its existing lenders. Bed Bath & Beyond entered its case with a comparably sized secured stack but without a committed buyer; a going-concern sale process failed, and its intellectual property was sold for $21.5 million, leaving $1.03

billion of unsecured notes unrecovered. Tuesday Morning found no buyer at all and converted to Chapter 7 liquidation. The distinguishing factor in Sleep Number's case is sequencing: a buyer was secured before the petition was filed, rather than sought under pressure of an active case. That difference accounts for the going-concern outcome and the blended lender recovery near 50%, rather than a liquidation.

Key Dates and Catalysts

- **July 8.** Bid deadline. A competing bid above $415 million would lift secured recovery and could shift where the fulcrum sits.
- **July 9.** Final DIP hearing. Confirms the $260 million facility; objections here could alter terms or size.
- **July 13.** Auction. The real test of whether the prepetition marketing process captured fair value.
- **July 15.** Sale hearing. Confirms whether $415 million holds as the final purchase price.
- **July 31.** Targeted closing. Objections from the unsecured creditors' committee or landlords over lease-rejection treatment are the primary risk to this date, and any slippage compresses an already-tight DIP maturity (September 16, 2026).
- **UCC activity.** With counsel now retained, expect scrutiny of the roll-up mechanics and a push for a carve-out to fund unsecured recoveries.

Why the Case Matters

Equity research is concerned with what a business is worth. Restructuring analysis addresses a different question: when a business is worth less than its obligations, which claims control the outcome, and on what terms. Sleep Number's case shows that this determination can be made well before a courtroom is involved, in this instance, through a DIP structure negotiated among a single lender group months before the petition was filed. The result is a capital structure that appeared unified on paper but split cleanly into winners and losers once the mechanics were examined. That distinction, between how a balance sheet is presented and how it behaves under stress, is the core analytical skill this case illustrates.

Outlook

Sleep Number's case is unlikely to be an isolated event. Home furnishings and speciality retail carry some of the highest average leverage in consumer discretionary, and several peers, including La-Z-Boy, Purple Innovation, and a wider set of mid-cap furniture and mattress retailers, face similar exposure to the combination of soft demand, tariff-driven input costs, and debt taken on during a stronger rate environment. Where a company sits on that spectrum increasingly determines whether it reaches a negotiated, going-concern outcome like Sleep Number's, or a disorderly one like Tuesday Morning's.

The broader restructuring market is showing a consistent pattern this cycle: DIP structures used less as bridge financing and more as a tool for lenders to reorder priority ahead of a sale, with private credit funds, rather than traditional bank syndicates, increasingly setting the terms of that process. Retail Chapter 11 filings have stayed elevated through 2025 and into 2026, and cases are resolving faster, with less contested litigation, as pre-negotiated sales become the default path rather than the exception.

Consumer discretionary remains an area of continued interest for Drumoak, particularly as capital rotates away from AI-related concentration risk and back toward sectors trading on more conventional fundamentals. Distressed situations within the sector are a useful lens for that coverage, since they surface how leverage and capital structure decisions, not just demand trends, determine equity outcomes. This note also reflects a deliberate step toward building a stronger working knowledge of debt and restructuring analysis, an area Drumoak intends to continue developing alongside its existing equity research.